

FinVeritas V2

Financial Metrics Intelligence Engine

Feasibility Report

Version: 1.0

Executive Summary

After evaluating the Bloomberg Financial Statement Analysis reports available for listed companies (such as TCS, Infosys, and HDFC Bank), it is evident that Bloomberg provides a highly standardized representation of the three primary financial statements: Income Statement, Balance Sheet, and Cash Flow Statement, along with historical data, LTM values, and analyst estimates. This standardized structure enables FinVeritas to compute deterministic financial metrics while preserving the core philosophy: 'Python Computes. LLM Narrates.'

Approximately 90% of the quantitative metrics used in equity research and corporate financial analysis can be computed directly from the available Bloomberg reports.

Current Bloomberg Coverage

Income Statement:

- Revenue, Sales, Cost of Revenue, COGS
- Gross Profit
- Operating Expenses
- SG&A
- R&D
- Depreciation & Amortization
- Operating Income
- Interest Income & Expense
- Other Income
- Pretax Income
- Net Income

Balance Sheet:

- Cash & Cash Equivalents
- Investments
- Receivables
- Inventory
- Current Assets
- PPE
- Intangible Assets
- Total Assets
- Current Liabilities
- Short-term Debt
- Long-term Debt
- Shareholders' Equity

Cash Flow Statement:

- Operating Cash Flow
- Investing Cash Flow
- Financing Cash Flow
- Capital Expenditure
- Free Cash Flow Components
- Dividends
- Share Buybacks

Historical Coverage:

- Multi-year historical financials

- LTM values
- Analyst estimates

Financial Metrics That Can Be Computed

1. Revenue Intelligence

- Revenue
- Net Sales
- Revenue from Operations
- Other Operating Income
- Total Revenue
- Revenue Growth
- CAGR
- YoY Growth

2. Cost Analysis

- Cost of Revenue
- COGS
- Operating Expenses
- SG&A
- R&D Expenses
- Depreciation
- Amortization

3. Profitability Intelligence

- Gross Profit
- Gross Margin
- EBITDA

- EBITDA Margin
- EBIT
- Operating Profit
- Operating Margin
- Profit Before Tax (PBT)
- Profit After Tax (PAT)
- Net Profit Margin
- EPS
- Diluted EPS

4. Liquidity Intelligence

- Current Ratio
- Quick Ratio
- Cash Ratio
- Working Capital
- Net Working Capital

5. Solvency Intelligence

- Debt-to-Equity
- Debt-to-Assets
- Equity Ratio
- Financial Leverage
- Interest Coverage
- Net Debt
- Net Debt/EBITDA

6. Debt Servicing Intelligence

- Interest Coverage Ratio
- Debt Service Coverage Ratio (DSCR)*
- Fixed Charge Coverage*

*Requires additional debt repayment schedule.

7. Efficiency Intelligence

- Asset Turnover
- Receivable Turnover
- Payable Turnover
- Inventory Turnover
- Working Capital Turnover
- Fixed Asset Turnover
- Cash Conversion Cycle
- DSO
- DIO
- DPO

8. Return Intelligence

- ROE
- ROA
- ROCE
- ROIC

9. Cash Flow Intelligence

- Operating Cash Flow

- Investing Cash Flow
- Financing Cash Flow
- Free Cash Flow
- CAPEX
- Cash Burn
- Operating Cash Flow Ratio

10. Growth Intelligence

- Revenue Growth
- EBITDA Growth
- PAT Growth
- EBIT Growth
- Asset Growth
- Equity Growth
- Cash Flow Growth
- Multi-Year CAGR

11. Trend Intelligence

- Revenue Trends
- Profit Trends
- Margin Trends
- Debt Trends
- Cash Flow Trends

12. Risk Intelligence

- Negative EBITDA

- Declining PAT
- Margin Compression
- Rising Debt
- Weak Current Ratio
- Weak Interest Coverage
- Weak DSCR
- Negative Operating Cash Flow
- Abnormal Receivable Growth

Metrics Requiring Additional Data

Market Data:

- Market Capitalization
- Enterprise Value
- Share Price
- Shares Outstanding
- P/E, P/B, PEG
- EV/EBITDA
- Dividend Yield

Debt Information:

- Debt Maturity Schedule
- Principal Repayment Schedule
- Detailed Loan Information

Competitive Intelligence:

- Peer Financials
- Industry Benchmarks

- Sector Median Ratios

Governance:

- Board Information
- Insider Trading
- Promoter Holdings
- ESG Data
- Litigation History

Forecast Validation:

- Analyst Estimates
- Earnings Call Transcripts
- Management Guidance
- Macroeconomic Indicators

Feasibility Summary

Income Statement Metrics: 100%

Balance Sheet Metrics: 100%

Cash Flow Metrics: 100%

Profitability Ratios: 100%

Liquidity Ratios: 100%

Solvency Ratios: 100%

Return Ratios: 100%

Efficiency Ratios: ~95%

Growth Metrics: 100%

Trend Analysis: 100%

Risk Monitoring: ~95%

Market Valuation: Requires Market Data

Precise DSCR: Requires Debt Schedule

Governance Intelligence: Requires External Data

Competitive Benchmarking: Requires External Data

10. Working Capital & Credit Intelligence (NEW)

Purpose

Evaluate a company's working capital efficiency and estimate its borrowing capacity using deterministic financial calculations based on the Tandon Committee Method (Method II), where applicable.

Metrics

- Gross Working Capital
- Net Working Capital
- Working Capital Requirement (WCR)
- Working Capital Gap (WCG)
- Borrower Contribution
- Maximum Permissible Bank Finance (MPBF) *(Estimated)*
- Current Asset Coverage Ratio
- Drawing Power *(Estimated)*
- Operating Cycle
- Inventory Holding Period
- Receivable Days (DSO)
- Payable Days (DPO)
- Cash Conversion Cycle (CCC)

Business Insight

Provides explainable working capital assessment and preliminary credit appraisal by estimating the company's financing requirements, liquidity position, and borrowing capacity. This extends FinVeritas beyond financial statement analysis into banking and credit intelligence while maintaining the "**Python Computes. LLM Narrates.**" philosophy.

Availability

Partially Complete

The Bloomberg Financial Statement Analysis reports provide sufficient information to calculate:

- Working Capital
- Current Ratio
- Quick Ratio
- Working Capital Requirement (WCR)
- Working Capital Gap (WCG)
- Inventory Days
- Receivable Days
- Payable Days
- Cash Conversion Cycle (CCC)
- Operating Cycle

The following metrics require additional borrower- or bank-specific information:

- Precise Maximum Permissible Bank Finance (MPBF)
- Drawing Power
- Borrower Contribution (bank-specific assumptions)
- Existing Working Capital Limits
- Inventory Ageing
- Receivables Ageing
- Debt Maturity Schedule
- CMA (Credit Monitoring Arrangement) Data

Conclusion

The Bloomberg Financial Statement Analysis reports provide a sufficiently rich and standardized dataset for FinVeritas V2 to evolve into a comprehensive **Financial Metrics and Credit Intelligence Engine**. Approximately **90% of the financial metrics** used in professional equity research, corporate finance, and working capital analysis can be computed deterministically using the available financial statements. Furthermore, FinVeritas can perform **estimated working capital assessment and Maximum Permissible Bank Finance (MPBF) calculations**, extending its capabilities toward AI-assisted credit appraisal. Integrating additional data sources such as market feeds, debt schedules, inventory and receivable ageing, and CMA statements will enable **bank-grade MPBF calculations** and advanced lending analytics.